

NEED TO KNOW

- **Face value** The initial price at which the bond was issued.
- **Market or par value** The price at which a bond is traded.
- **Coupon** The amount of interest paid to bond investors.
- **Yield** A general term that relates to the return on the capital invested in a bond.
- **Savings bonds** Cash deposits on which a regular interest rate is paid.
- **Securities** Financial instruments, such as bonds, that can be traded.
- **Junk bonds** Bonds of highly risky companies.
- **Default** When a company fails to honor a repayment on a bond that it has sold to an investor.

16.5%
highest ever bond
rate offered by
US banks due to
high interest rates
in the 1980s

Water Company

YEAR 2

The company does well and is seen as a safe investment so the bond's market value—the price other investors will pay for it—increases. Some investors may choose to sell their bond certificates for a 20% profit, but others will keep them for the regular interest.

Bond market value: **\$1,200**

Yield calculation

$$\frac{100}{\$1,200} \times \frac{100}{1} = 8.33\%$$

\$100
interest

Year 2 yield = 8.33%
At \$1,200, the interest remains the same but the bond yield falls to 8.33% as the bond provides 10% of \$1,000 on a \$1,200 investment.

Water Company

YEAR 3

After a difficult year the company looks less reliable, so the market value of its bonds decreases. The bond still provides regular interest. Any new investors would receive the same interest payment—a higher rate of regular interest for a lower initial investment.

Bond market value: **\$800**

Yield calculation

$$\frac{\$100}{\$800} \times \frac{100}{1} = 12.5\%$$

\$100
interest

Year 3 yield = 12.5%
The interest the bond pays remains at \$100, but the bond can now be bought for \$800. The yield therefore rises to 12.5%.

Water Company

YEAR 4

At the end of the bond's term, the company repays the original capital sum, plus any interest that has accrued, on a specified date known as the maturity date. The bondholder receives no further interest once the bonds have matured.

Bond market value: **Maturity**

Repayment
\$1,000

Return on bond = \$300
The bondholder receives the full redemption of \$1,000, plus the total interest of \$300 that has been accrued over the three years.